

Amendment No. 1 to SB1797

Bailey
Signature of Sponsor

AMEND Senate Bill No. 1797*

House Bill No. 2093

by deleting all language after the enacting clause and substituting:

SECTION 1. Tennessee Code Annotated, Section 71-5-1412, is amended by inserting the following immediately preceding the existing subsection (a) as new subsections (a) and (b), and redesignating the existing subsections (a) and (b) accordingly:

(a) As used in this section:

(1) "Bureau" means the bureau of TennCare;

(2) "Managed care organization" or "MCO" means a health maintenance organization, behavioral health organization, or managed health insurance issuer that has a contract with the bureau and participates in the TennCare program;

(3) "Qualified nursing facility" means a nursing home that is licensed under title 68, chapter 11, part 2, and is certified by the bureau to provide medicaid nursing facility services; and

(4) "Termination":

(A) Means the involuntary removal, exclusion, or non-renewal of a qualified medicaid provider from an MCO's provider network or the medicaid program; and

(B) Does not include the voluntary withdrawal by the qualified medicaid provider.

(b) A managed care organization shall not include a provision in the MCO's contract with a qualified nursing facility to provide medicaid nursing facility services that permit actual or constructive termination by the MCO without cause, for convenience, or

termination without specifying the grounds for termination. In conjunction with the department of commerce and insurance, the bureau shall review and approve all standard contract templates used by MCOs for facility contracting to ensure compliance with this subsection (b).

SECTION 2. If any provision of this act or the application of any provision of this act to any person or circumstance is held invalid, then the invalidity does not affect other provisions or applications of the act that can be given effect without the invalid provision or application, and to that end, the provisions of this act are severable.

SECTION 3. This act takes effect July 1, 2026, the public welfare requiring it, and applies to policies, plans, and contracts entered into, renewed, amended, or delivered on or after that date.